

001-Spr2021-Midterm 1

⚠ This is a preview of the published version of the quiz

Started: Feb 28 at 2:47pm

Quiz Instructions

Question 1

5 pts

How many widgets should you produce based on the table below?

Quantity of Widgets	Total cost	Total benefit
1	2	3
2	5	9
3	9	14
4	13	18
5	18	21

☐ 1

☐ 2

☐ 3

☐ 4

☐ 5

Question 2

5 pts

Assume that Hershey Kisses are a normal good. Suppose that there is an ongoing cocoa bean shortage across the globe which will affect all chocolate manufacturers. What do you think will happen to the equilibrium price and quantity of Hershey Kisses on Valentine's Day, assuming that people purchase more chocolate on Valentine's Day than normally.

- ☐ The price will either increase or decrease; quantity will unambiguously decrease.
- ☐ The price will either increase or decrease; quantity will unambiguously increase.
- ☐ The price will unambiguously decrease; quantity will either increase or decrease.
- ☐ The price will unambiguously increase; quantity will either increase or decrease.
- ☐ There is not enough information given to answer the question.

Question 3

5 pts

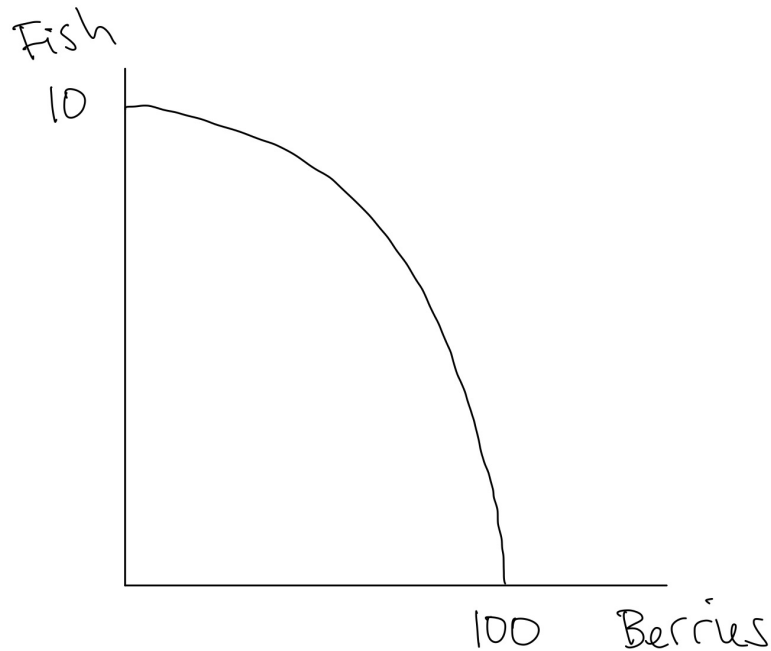
You bought a non-refundable ticket to a Capitals game for \$100. You can resell this ticket for \$50. In order to attend the game, you must skip 5 hours of work for which you are paid \$10/hr. What is the opportunity cost of attending the game?

- ☐ \$0
- ☐ \$50
- ☐ \$100
- ☐ \$150
- ☐ \$200

Question 4

5 pts

Robinson Crusoe spends his days catching fish or gathering berries. His PPF, as shown below, indicates that



- ☐ the marginal costs of gathering berries decreases as he gets more berries
- ☐ the marginal costs of gathering berries increases as he gets more berries
- ☐ The MC first decreases then increases as he gathers more berries.
- ☐ His demand for berries when the quantity of berries is low is very elastic.
- ☐ He likes berries and fish.

Question 5

5 pts

In Aditiland, occasionally a terrible storm hits. The people of Aditiland only get 12 hours warning. Historically, that has led to a shift in demand and an increase in the

price of generators. But the governor wants to implement a price ceiling. Assuming it was binding, the price ceiling would have the effect of

- ☐ Shifting the demand curve for generators further to the right once the storm hits.
- ☐ Shifting the supply curve for generators to the right, once the storm hits.
- ☐ Increasing quantity of generators sold (relative to what would have been sold without the ceiling).
- ☐ Reducing the quantity of generators sold (relative to what would have been sold without the ceiling)

Question 6

5 pts

In Nellyland, people love bean burgers, but only if they can eat them with both ketchup and mustard. However, one summer the price of mustard rises and the cost of tomatoes (an input to ketchup) increases. What happens in the market for ketchup?

- ☐ the price increases and quantity increases
- ☐ the price decreases and quantity increases
- ☐ the effect on price is unclear and the quantity decreases
- ☐ whether quantity decreases or increases depends on the relative size of the shifts in supply and demand

Question 7

5 pts

Bob bought a pair of stylish joggers on sale for \$35. He had been willing to pay up to \$50 so these joggers were a steal! It cost the shop owner \$40 dollars to acquire the joggers. Based on just this information, what is the total economic surplus from the transaction?

☐ 15

☐ 5

☐ -10

☐ 10

Question 8

5 pts

Stacy has recently become interested in purchasing plants for her home. This is a new hobby, and she is debating how many plants she should buy. The total benefit (represented through a monetary amount) of each number of plants is given in the chart below. If the plants cost \$12 each, how many should Stacy purchase?

# of plants	Total benefit
1	\$20
2	\$35
3	\$48
4	\$57

☐ 1

☐ 2

☐ 3

☐ 4

Question 9**5 pts**

You are the head barista of a coffee shop whose main product is ... coffee. But you also produce a lot of coffee grinds---what is left after making a cup of coffee--which never had much value. Until a new firm opened up next door that would buy your coffee grinds for some reason. Then

- ☐ You should lower the price of coffee.
- ☐ You should keep the price the same but enjoy higher profits!
- ☐ You should raise the price of coffee now that the grounds are worth more.
- ☐ You should sell less coffee and focus on producing more grinds.

Question 10**5 pts**

Rebekah's cookie stand has been booming! Every day, she has been selling 10 batches of cookies for \$10/batch and making a profit of \$50. Then the person she rents the table from raises the price of the table from \$5/day to \$15/day. Rebekah will

- ☐ reduce the quantity of cookies she sells
- ☐ increase the quantity of cookies she sells
- ☐ look for another stand but in the meantime pay the higher price but not make any other adjustment to her business.
- ☐ raise the price of the cookies she sells a little bit to make up for the higher costs

Question 11**5 pts**

Alene's Smoothie Shop only accepts payment via credit cards and Alene always charges exactly the equilibrium price as determined by the smoothie shop's upward-sloping (but not vertical) supply curve and the downward-sloping demand curve of the shop's customers. Suppose the credit card processing company increases the fee it charges the shop from 2 percent for each purchase to 4 percent. Then

- ☐ Alene will increase the price she charges by 2 percent.
- ☐ Alene will keep her price the same but will sell fewer units.
- ☐ The credit card company will make twice as much money from Alene's shop as it did before.
- ☐ Alene will raise the price she charges but by less than 2 percent.
- ☐ None of the above outcomes is likely.

Question 12

5 pts

Suppose the governor wants to help consumers by lowering their taxes. Unfortunately, the government still needs the same amount of money, so the governor lowers taxes on consumers of widgets by \$2/unit and increase the taxes sellers of widgets have to pay by \$2/unit. According to the model of supply and demand we have discussed in class, this change is likely to

- ☐ lower the price that consumers have to pay but reduce profits for the sellers.
- ☐ reduce the amount of tax revenue the government gets by an amount that depends on the elasticities of supply and demand.
- ☐ affect the price of widgets that consumers have to pay and the price that suppliers have to keep in a way that is determined by the elasticities of supply and demand.
- ☐ not make a difference in the price that buyers have to pay for widgets or in the number of widgets they purchase.

Question 13

5 pts

Suppose that the supply of land in Arthurville is perfectly inelastic. Further suppose that there was a 2 percent increase in the income of everyone who lives in Arthurville. What was the effect on the market for land in Arthurville? (Suppose the income elasticity of demand in Arthurville was exactly 1.)

- ☐ The price of land would increase by about 2 percent.
- ☐ The price of land would increase by much more than 2 percent.
- ☐ The price of land would fall as people substitute towards other more elastic goods.
- ☐ The quantity of land in Arthurville would increase, because the people are richer and now would buy more land.

Question 14

5 pts

Rapha runs a small, one-man croissant firm. He knows his marginal cost curve for producing croissants. This winter, two other croissant shops open in Raphael's city (*ceteris paribus*). Once the shops open, which of the following is true?

- ☐ Rapha's firm's supply curve shifts in.
- ☐ Rapha's firm's supply curve shifts out.
- ☐ Rapha's firm's supply curve does not shift.
- ☐ The market demand curve for croissants decreases.

Question 15

5 pts

The federal government just announced next month it would give every U.S. citizen a \$2,000 check. Because of that the CEO of Arjun's Couches, a small firm in Washington, DC, that sells couches expects the equilibrium price of its couches to

increase next month. What will Arjun decide do with his firm's supply of couches this month?

- ☐ Supply the same amount of couches this month.
- ☐ Supply more couches this month, in anticipation of the price change.
- ☐ Lower the price of his couches now so he can sell even more before the price increase.
- ☐ Supply fewer couches this month, in anticipation of the price change.

Question 16

5 pts

Suppose the government has implemented a price ceiling, setting the price of cookies at a price below the equilibrium price. If the price of sugar (used to produce cookies) increases, then _____.

- ☐ the cookie shortage decreases
- ☐ the cookie shortage increases
- ☐ there is not enough information to say what happens
- ☐ the cookie surplus decreases
- ☐ the quantity moves closer to the perfectly competitive equilibrium quantity

Question 17

5 pts

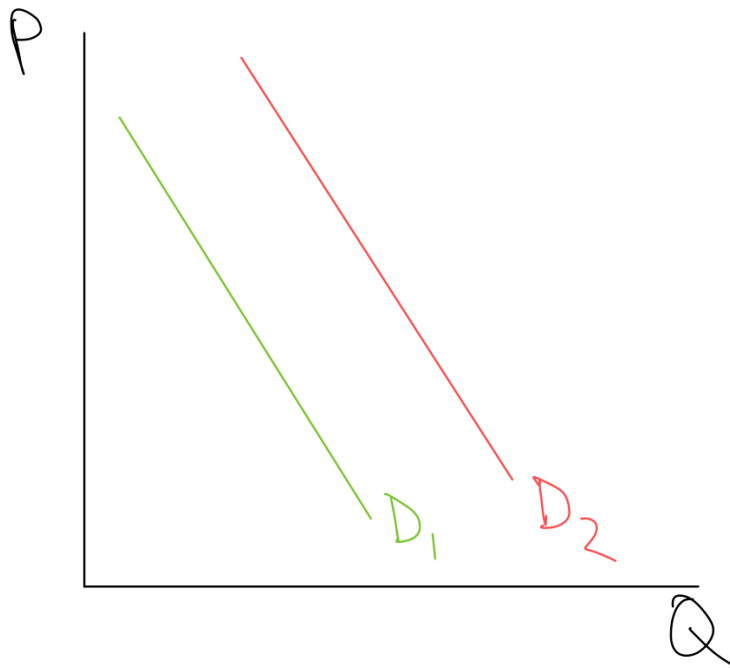
Tianshi sells very fine boots from his boot shop. He announced that today at 4pm he will begin selling his newest style at a price of \$500/pair. In anticipation of the boots selling out, a line of people starts forming at noon. The price of \$500 and the long line suggests that

- ☐ Only the people who value the boots the most will get them. (Who else would wait in line for a pair of such expensive boots?)
- ☐ Some people who value the shoes at \$500 or more will not be able to get a pair.
- ☐ Tianshi has priced the boots on the inelastic portion of his demand curve.
- ☐ Because of congestion effects, the boots will be worth less than they otherwise might have been.

Question 18

5 pts

Suppose person 1 has demand D_1 and person 2 has demand D_2 as shown. Which statement is true?



- ☐ At any given price, demand is less elastic on D_2 than it is on D_1 .
- ☐ Demand is less elastic at every point on D_2 than it is on D_1 .

- ☐ There is insufficient information to compare the elasticities on these two demand curves.
- ☐ The income of the person who has D2 must be higher than the income of the person who has D1.

Question 19

5 pts

Suppose you are a supplier of widgets in a market that is perfectly competitive, and the market price for a widget is \$10. Then

- ☐ You will sell as many units as you possibly can produce, so long as your total costs are less than your total revenue.
- ☐ You might lower the price a bit to steal some business from your competitors.
- ☐ You will sell the quantity that is determined by where, on a graph, your MC curve intersects the market price line.
- ☐ You might raise your price a bit.

Question 20

5 pts

Suppose there is no tax on cigarettes, and they are bought and sold at the competitive equilibrium price. Further suppose that at that price the demand for cigarettes is less elastic than is the supply. When the government implements a tax of \$4 dollars a pack on suppliers, then at the new equilibrium

- ☐ the price buyers pay increases more than the price suppliers keep.
- ☐ the price buyers pay increases less than the price suppliers keep.
- ☐ government revenue goes up by \$4 times the quantity sold before there was a tax.
- ☐ there is no change in the price demanders pay but supplier have lower profits.

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